

Finance 551
Problems in Business Finance
Winter 2026

Professor Jennifer L. Koski
jkoski@uw.edu
Dempsey 303D, (206) 543-7975
Office Hours: Mondays 3:00-4:00 p.m. and by appt.
Course materials available on Canvas

DESCRIPTION:

This class is a case course examining corporate financing and investment decisions and related issues in financial strategy. The course is organized into four sections:

1. Short-Term Financial Management
2. Capital Structure
3. Capital Budgeting
4. Firm Valuation and Corporate Restructuring

In the first two sections of the course, we deal with two important problems relating to raising capital: managing the cash flowing through the business and financing company operations. In the last two sections, we turn our attention to evaluating investment opportunities, estimating discount rates, valuing firms, and analyzing bankruptcy, corporate restructuring, and mergers.

When you complete this course, you should be able to:

- Analyze a company's financial statements and draw inferences about the firm's strengths and weaknesses.
- Use a computer spreadsheet to create pro forma financial forecasts.
- Evaluate the appropriate balance between debt and equity capital.
- Identify an investment's relevant costs and benefits to calculate free cash flows.
- Estimate a company's weighted-average cost of capital and understand its role in investment decision making.
- Use a variety of valuation techniques to evaluate capital expenditures and to value firms.
- Use valuation models to analyze strategic business alternatives.
- Enhance group collaboration skills by working together to analyze corporate financial decisions.

PREPARATION:

Most of our class time will be devoted to discussion of assigned cases. To get the most out of class you must prepare conscientiously and participate actively in study group and class discussions. Failure to participate robs others of your perspective and increases the chances that the discussion will not be relevant to your interests and abilities. Please participate actively.

So, what is conscientious case preparation? Read the case thoroughly; identify principal issues to be addressed in the case; attempt to analyze these issues using your common sense and any appropriate tools or techniques and note any action recommendations implied by your analysis. Alternatively, if you find yourself hitting a roadblock, try to articulate what the problem is. Oftentimes, identifying roadblocks is as valuable as a complete analysis. You should expect to spend between two and three hours preparing each case for class discussion.

For each case assigned you will note below that I have posed one or more preparation questions. The questions play several roles depending on the case. Usually, the questions are simply guidelines to help you get started on your analysis. In some instances, I may give you additional information in the questions, or I may ask you to perform specific calculations. You should not assume that answering all the preparation questions necessarily constitutes a complete analysis. My general advice is always to read the preparation questions, but do not feel overly constrained by them.

Do not be surprised if after conscientious preparation you still feel there are some loose ends in the case about which you are uncertain. Your test of whether you are learning the material and progressing adequately should be how you feel after the class discussion, not before. You are doing fine if after a class discussion you believe you could adequately handle a similar situation in the future.

COURSE RESPONSIBILITIES:

Your grade will be based on the following:

Participation	30%
Group Assignments (3)	30%
Individual Assignments (4)	40%

Participation. Your participation grade will be based on your presence and engagement in the class discussion, my assessment of the extent to which you helped make the class a productive learning experience, and my assessment of the depth of your command of the material.

I will be forming students into randomly assigned subsets which I'll call Panels. The Panels will be different from your Groups for group assignments. For each class session, one Panel

will be “on call.” I will cold call primarily from the list of students on the assigned Panel that day. I may also cold call students who are not on the Panel that day for shorter, non-quantitative comments such as a final recommendation. All students are expected to be prepared for each class session, and everyone is encouraged to join in the discussion. Lists of students on the Panel for each class session will be posted on Canvas. If for some reason you need to change your assigned Panel, please let me know before 10:00 am the day of class.

Supplemental resources including the course textbook and online video tutorials are available to help you review some of the technical skills required to support your case analyses. We will be applying these skills to a range of corporate financial issues. However, there is no substitute for the in-class case discussion to learn how to use these skills to evaluate alternatives, draw inferences, and make recommendations. You will not be able to master the material if you are not in class to engage in case discussions.

I take notes after each class session to assess the level of involvement and engagement of students in the case discussions. I will use the following rubric to assign participation grades:

	On Call Panels	Other Class Sessions
Exceeds expectations	Prepared for class and actively engaged. Provided in-depth answers when cold called as part of the panel, supported by careful financial analysis (where relevant). Recognized important factors that have not yet been considered in our discussion. Contributed in ways that helped move the discussion forward.	Prepared for class. Engaged actively in the discussion, volunteering with suggestions for refinements to the analysis or questions relating to important factors that have not yet been considered in our discussion.
Meets expectations	Prepared for class and actively engaged. Provided answers when cold called as part of the panel. Made a good attempt on the financial analyses for the case. Able to motivate assumptions and draw conclusions from the analysis and discussion.	Prepared for class. Listened attentively to class discussion, occasionally participating with a thoughtful question or comment.
Below expectations	Underprepared for class. Engaged in discussion at only a superficial level.	Unprepared for class. Did not engage in the case discussion.
Maximum Total Points	15	15

Assignments. The assignments are as follows:

Assignment	Due Date
I. Ceres Gardening (Individual)	Thursday, Jan. 15
II. Olympic Gypsum Products (Individual)	Thursday, Jan. 22
III. Yellow Corp. (Group)	Tuesday, Feb. 3
IV. Oracle's WACC (Individual)	Thursday, Feb. 12
V. Current Event Valuation (Group)	Tuesday, Feb. 24
VI. RJR Nabisco (Group)	Tuesday, March 3
VII. Dow's Bid for Rohm and Haas (Individual)	Tuesday, March 10

Please note that the specific deliverable for each case may differ from the study questions (provided as a basis for class discussion) also included in the syllabus. Assignments for the graded deliverables are outlined in boxes in the syllabus.

All assignments are due at 10:00 a.m. on the day we will be discussing the case. Assignments should be submitted electronically on Canvas. Please spend time formatting your assignments; you will be evaluated on the clarity of your work.

Because we discuss the case solutions in class and I share materials that include case solutions (such as class recordings) after class, I do not accept late assignments. If you are unable to complete an assignment on time, I will consider a makeup assignment with a slight deduction in score. Please reach out to me separately by email to arrange a makeup assignment. No late/makeup assignments will be accepted after the last day of class.

There are two types of written assignments, Group and Individual:

Group Assignments. During the quarter, you will be responsible for completing three group assignments. Each group should consist of 3-5 students, and you should retain the same group for each group assignment. Please email me a list of names of students in your group. Please also let me know if you would like my assistance with group formation.

Individual Assignments. You are also responsible for completing four individual written assignments. Although you are allowed to discuss the individual assignments with others as described below, you must each prepare and turn in your own work.

You are encouraged to discuss any of the written assignments with other students in the class or with me. You are also welcome to use the internet or any other written resources to research background on the case, although (except as otherwise noted) I don't anticipate that you will need to do any outside research. Please DO NOT use sample solutions or notes related to the case discussion from the internet, from students in prior years (including those who had another instructor), or from any other source for any of the case assignments.

Final Exam. There is no final exam for this class. You will have completed your course responsibilities by the end of the last class session on Thursday, March 12.

MATERIALS:

The following materials are required for this course:

- A required packet of cases is available to purchase from
- **Robert C. Higgins, Jennifer L. Koski, and Todd Mitton, *Analysis for Financial Management*, (Thirteenth Edition), Irwin/McGraw-Hill, 2023.** (Older editions of this textbook will work fine; we will not use any of the online or supporting materials.)

FOSTER INTEGRITY PRINCIPLES:

I will uphold the fundamental standards of honesty, respect, and integrity and I accept the responsibility to encourage others to adhere to these standards.

- HONESTY: I will be truthful with myself and others.
- RESPECT: I will show consideration for others and their ideas and work.
- INTEGRITY: I will be a leader of character. I will be fair in all relations with others.

TECHNOLOGY POLICY:

I encourage the use of laptops in class for class-related purposes such as note taking and accessing your financial models. Learning how to prepare financial models in Excel is an important objective of the class. However, I support the School's policy against accessing email or Slack, surfing the Internet, etc. during class.

Please constrain the use of your laptop during class to class-related purposes.

AI POLICY:

Students in this course are allowed to explore the use of AI-based tools (such as [UW's version of Copilot](#)) when completing assignments. All sources, including AI tools, must be properly cited.

Please note that AI results can be biased and inaccurate. It is your responsibility to ensure that the information you use from AI is accurate. Additionally, pay attention to the privacy of your data. Many AI tools will incorporate and use any content you share, so be careful not to unintentionally share copyrighted materials, original work, or personal information. In particular, do not upload the cases.

ACCESS AND ACCOMMODATIONS:

Your experience in this class is important to me. It is the policy and practice of the University of Washington to create inclusive and accessible learning environments consistent with federal and state law. If you have already established an accommodation with Disability Resources for Students (DRS), please activate your accommodation via myDRS so we can discuss how to implement it in this course.

If you have not yet established services through DRS but have a temporary health condition or permanent disability that requires accommodations (conditions include but not limited to; mental health, attention-related, learning, vision, hearing, physical or health impacts), contact DRS directly to set up an Access Plan. DRS facilitates the interactive process that establishes reasonable accommodations. Contact DRS at disability.uw.edu.

RELIGIOUS ACCOMMODATIONS:

Washington state law requires that UW develop a policy for accommodation of student absences or significant hardship due to reasons of faith or conscience, or for organized religious activities. The UW's policy, including more information about how to request an accommodation, is available at [Religious Accommodations Policy](#). Accommodations must be requested within the first two weeks of this course using the [Religious Accommodations Request](#) form.

Course Schedule

SHORT-TERM FINANCIAL MANAGEMENT

Class 1 (Tuesday, Jan. 6): Determinants of Financial Structure

Prepare (in class): Financial Ratios Exercise (Case Available on Canvas)

Read: Higgins, Chapter 2.

- a.) Match company financial data to differing industries. (There will be time during the class session to work together on this exercise.)

Class 2 (Thursday, Jan. 8): Assessing the Financial Health of the Firm

Prepare: J.C. Penney Company

Read: Higgins, Chapter 2.

- a.) Evaluate JCP's strategy. What are the company's strengths?
- b.) What went wrong? Is JCP's current position primarily the result of operating decisions, financial decisions, or bad luck?
- c.) Evaluate JCP's historical operating performance. What ratios will help you with this evaluation? What is JCP's ROE?
- d.) How has JCP managed its working capital in the recent past? Is there an opportunity to squeeze more cash from any of these accounts?
- e.) How serious is the situation? What are JCP's alternatives, and what should they do?

Class 3 (Tuesday, Jan. 13): Financial Forecasting and Cash Budgeting

Prepare: NanoLabs (Case Available on Canvas)

Read: Higgins, Chapter 3

- a.) How has NanoLabs performed so far? What are the company's main strengths and weaknesses?
- b.) Why has NanoLabs borrowed increasing amounts despite its consistent profitability?
- c.) How much money will NanoLabs need? For how long, a few months or longer?
- d.) As a banker, would you approve NanoLabs' request for a larger loan? If so, what conditions would you put on the loan?

Class 4 (Thursday, Jan. 15): Managing Working Capital

Prepare: Ceres Gardening Company: Funding Growth in Organic Products

Read: Higgins, Chapter 4

- a.) Evaluate Ceres' historical operating performance and marketing efforts. What are the company's strengths?
- b.) How has the company grown? What is its basic marketing strategy, and how has this strategy evolved? What is GetCeres?
- c.) Prepare a financial forecast for 2007. What do you learn from this forecast?
- d.) Should the GetCeres program be expanded? Why or why not?

Graded Assignment I (Individual Assignment)

Please submit a spreadsheet with your 2007 forecast for Ceres. Clearly note any assumptions, either on your spreadsheet or in an attached memo. How much additional external debt funding (if any) do they need?

Class 5 (Tuesday, Jan. 20): Financing Seasonal Operations

Prepare: Polar Sports, Inc.

- a.) What factors should Weir consider in deciding whether or not to adopt the level production plan?
- b.) What effect will shifting to level production have on the company's need for a bank loan? Prepare a financial forecast to estimate the company's funding needs with level production.
- c.) As the banker, would you be willing to extend the line of credit to finance level production? Why or why not? What other sources could substitute in part for bank lending if the lender is not willing to extend the present line of credit? Do you think it is feasible for Polar Sports to switch to level production?
- d.) What are Weir's options, and what should he do?

CAPITAL STRUCTURE

Class 6 (Thursday, Jan. 22): Long-Term Financing Alternatives

Prepare: Olympic Gypsum Corp. (Case Available on Canvas)

Read: Higgins, pp. 199-206

- a.) What are the advantages and disadvantages of the three methods Olympic Gypsum might use to raise the needed external capital?
- b.) Estimate Olympic Gypsum's pro forma book value leverage ratio $((D/(D+E)))$ in early 2026 and their fiscal year 2026 coverage ratio and EPS under the three alternatives. Prepare a financial model to illustrate these effects.
- c.) Which of the financing methods do you recommend? Why?

Graded Assignment II (Individual Assignment)

Please submit written responses to the three study questions above. In your response to question (b), clearly state any assumptions and show your work.

Class 7 (Tuesday, Jan. 27): Optimal Capital Structure- Interest Tax Shields

Prepare: California Pizza Kitchen

Read: Higgins, Chapter 6 Appendix

- a.) Evaluate CPK's strategy and operating performance. How would you characterize CPK's business risk? Why is CPK considering this transaction now?
- b.) For each scenario in Exhibit 9, calculate the present value of the interest tax shield assuming the new debt is permanent. How will the interest tax shield affect the value of the firm? Clearly state any additional assumptions you need to make.
- c.) Calculate the coverage, EPS, and market value leverage ratios for the three scenarios in Exhibit 9. How many shares can they repurchase in each scenario, and at what price?
- d.) Is their line of credit a reasonable source of funding for this transaction? Why or why not?
- e.) What should CPK do, and why? Be specific.

Class 8 (Thursday, Jan. 29): Optimal Capital Structure- Tradeoff Theory

Prepare: Diageo plc

Read: Higgins, pp. 206-219

- a.) How has Diageo historically managed its capital structure? Is their target capital structure reasonable?
- b.) How would you apply the tradeoff theory of capital structure to Diageo's business? Is the present value of the interest tax shield likely to be large or small for Diageo? What about distress costs?
- c.) Based on the results of the model, what recommendation would you make for Diageo's future capital structure? Why doesn't Diageo have more debt? What are the disadvantages of more debt for them?
- d.) Should Diageo change its target capital structure?

Class 9 (Tuesday, Feb. 3): Optimal Capital Structure- Financial Distress and Bankruptcy

Prepare: Yellow Corporation: On the Verge of Bankruptcy

- a.) What is Yellow's strategy? What is Yellow doing well?
- b.) How did Yellow get into this situation? Is their distress primarily the result of poor operating decisions, poor financial decisions, or bad luck? What ratios support your evaluation of this question?

- c.) How levered is Yellow? Does this amount of leverage make sense for them? Why or why not?
- d.) How serious is the situation? Why? What are Yellow's immediate cash flow needs?
- e.) What are Yellow's alternatives, and what are the advantages and disadvantages of these alternatives?
- f.) Which option do you recommend, and why?

Graded Assignment III (Group Assignment)

Please submit written responses to the study questions, above. Although the assignment does not require any pro forma analyses, be sure to consider ways you can use data from the case in addition to concepts from class to support your discussion.

Class 10 (Thursday, Feb. 5): Payout Policy

Prepare: Amazon's Payout Policy (case available on Canvas)

- a.) What are Amazon's funding needs? Will it need the \$30 billion in cash to finance its operations?
- b.) Why do firms pay dividends? What are the disadvantages of paying dividends? How do these considerations change if the payout is a share repurchase?
- c.) If Amazon were to pay \$30 billion as a special dividend, what would be the effect on market value? On the share price? On net income? On earnings per share? What if Amazon used this money to repurchase shares instead? Assume a 3% rate of interest earned on any cash and short-term investments, and a 4% interest rate on the debt. Also assume that the payout takes place in late 2025. Estimate the impact on the Sept. 30, 2025, capitalization, and the income statement based on the forecasted EBIT as provided in the case. (*Solve this problem in the Modigliani-Miller setting.*)
- d.) If you relax the assumptions from Modigliani-Miller to incorporate frictions from the real world, how might your estimates in question (c) change? Address this question qualitatively (there is no need to recalculate your pro forma).
- e.) Should Amazon pay out \$30 billion in cash, and if so, what form should this payout take?

CAPITAL BUDGETING

Class 11 (Tuesday, Feb. 10): Lecture (Capital Budgeting and Valuation; FCF Research)

Read: Higgins Chapter 7 Appendix (pp. 269-276), pp. 337-351, and Chapter 8 Appendix (pp. 321-326)

Class 12 (Thursday, Feb. 12): Cost of Capital

Prepare: Oracle's WACC (Case Available on Canvas)

Read: Higgins, pp. 294-307

- a.) How did Roberts calculate the WACC? Do you agree with the assumptions?
- b.) Calculate the cost of equity using at least three different techniques.
- c.) What is your estimate of the WACC for Oracle?

Graded Assignment IV (Individual Assignment)

Please submit a 1-2 page memo with your estimate of the cost of capital for Oracle. In your memo, please carefully explain your assumptions and provide a specific value for the WACC.

Class 13 (Tuesday, Feb. 17): Incremental Cash Flows – Replacement Problem

Prepare: Fonderia del Piemonte S.p.A.

Read: Higgins, pp. 258-269

- a.) What are the incremental cash flows associated with acquiring the machine?
- b.) What is the appropriate discount rate? Why? What is the NPV of the project at this discount rate?
- c.) Are you especially uncertain about any of the assumptions? What does a sensitivity analysis of these assumptions reveal?
- d.) What other factors might influence your recommendation? Are there any qualitative factors that you did not incorporate into the NPV?
- e.) Should Martina Bellucci proceed with the project?

Class 14 (Thursday, Feb. 19): Incremental Cash Flows – Build vs. Buy

Prepare: Stryker Corporation: In-sourcing PCBs

- a.) How would you define the “project”? What is the base case (status quo)?
- b.) What are the advantages and disadvantages of building this facility?
- c.) What is the relevant forecasting horizon?
- d.) What are the incremental (annual) free cash flows for the project? Consider the “with/without” principle and estimate the free cash flows both without the project and with the project. Focus on the initial costs and free cash flows for the first year or two?
- e.) What is the NPV of the project? Should Stryker undertake this project?

FIRM VALUATION AND CORPORATE RESTRUCTURING

Class 15 (Tuesday, Feb. 24): Current Event NPV Firm Valuation

Prepare: Current Event Valuation Case (Case and Study Questions Available on Canvas)

- a.) What is the NPV of the company?
- b.) How does this NPV translate into a stock price per share?
- c.) As of what date have you valued the company?

Graded Assignment V (Group Assignment)

Please submit a spreadsheet with your NPV valuation of the company. Clearly note any assumptions either on your spreadsheet or in an attached memo. How does your NPV translate into a stock price per share? As of what date have you valued the company?

Class 16 (Thursday, Feb. 26): APV Valuation/Bankruptcy Restructuring

Prepare: Infinity Carpets, Inc.

Read: Higgins, pp. 338-339

- a.) Why did Infinity Carpets get into financial difficulty? Was it bad luck, bad operating decisions, or bad financial decisions?
- b.) How pressing is the situation? Can Infinity get by without restructuring?
- c.) What do you think Infinity would fetch in liquidation? (Hint: For each line item on the asset side of the balance sheet, estimate the percentage of value that might be recovered if the company liquidates.) How would these proceeds be divided among the claimants?
- d.) What is a reasonable estimate of Infinity's firm value? Use the APV method to value the company.
- e.) As Benson, recommend an action plan to Infinity's controlling stockholder, SLP.

Class 17 (Tuesday, March 3): Leveraged Buyouts

Prepare: RJR Nabisco

Read: Higgins, pp. 354-364

- a.) What is the value of RJR Nabisco under the pre-bid operating strategy?
- b.) What accounts for any difference in the value among the three operating plans?
- c.) Which bid should the Special Committee select, if any?

Graded Assignment VI (Group Assignment)

Please submit your responses to questions (a) and (b) above. For question (a), use the APV method to value RJR Nabisco. You only need to submit your valuation under the pre-bid scenario; please submit your spreadsheet for this valuation, along with a brief discussion of your assumptions. Express your valuation as a stock price per share. Your response to question (b) should be one or two paragraphs and should be based on the case discussion and the cash flow projections provided in the case. Please see Canvas for some additional assumptions to help you with your analysis.

Class 18 (Thursday, March 5): Mergers and Acquisitions

Prepare: Flinder Valves and Controls Inc.

Read: Appendix for Flinder Case (on Canvas)

- a.) Using the case and the supplementary information in the Appendix (posted on Canvas), what are the strengths and weaknesses of Flinder and RSE? Why should the two companies want to merge?
- b.) What is Flinder worth as a stand-alone company? Value Flinder using NPV and comparable trades.
- c.) What is the value of synergies that would potentially be created through a merger with RSE?
- d.) What opening price do you think Flinder should offer to sell the company to RSE? At what price should he walk away from the negotiation? How did you estimate these values?

Class 19 (Tuesday, March 10): Mergers and Acquisitions

Prepare: Dow's Bid for Rohm and Haas

- a.) Why does Dow want to buy Rohm and Haas?
- b.) How much is Rohm worth per share on a standalone basis? How much is Rohm worth to Dow? Was the \$78 per share bid reasonable?
- c.) What are the major deal risks inherent in this merger transaction? How and to whom does the merger agreement allocate these key risks? (Hint: Analyze some of the provisions in case Exhibit 4. What risk does each provision address and which party ultimately bears the risk?)
- d.) As of early February 2009, what should Liveris do, and what should Gupta do?

Graded Assignment VII (Individual Assignment)

Please submit written responses to all four study questions, above. In responding to question (b), you should estimate the value of Rohm both when Dow originally announced the deal (July 2008) and based on the revised expectations as of early February 2009 (so you will have four valuations as of early 2009: standalone and as an acquisition target, based on projections as of July 2008 and February 2009). Please include the spreadsheet with these valuations in your response. Be sure to discuss clearly your main assumptions. On page 4, the case discusses the \$800 million in annual cost synergies, which can be achieved with a one-time cost of \$1.3 billion. Assume that both the \$800 million and the \$1.3 billion figures are pre-tax.

Class 20 (Thursday, March 12): Summary and Course Overview